

2019 Interim Results



BRITISH AMERICAN
TOBACCO
KENYA

Value growth in a challenging operating environment

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OUR STRATEGY

to deliver the quadruple win

» **For Consumers**

» **For Shareholders**

» **For Society**

» **For Employees**



DOMESTIC MARKET

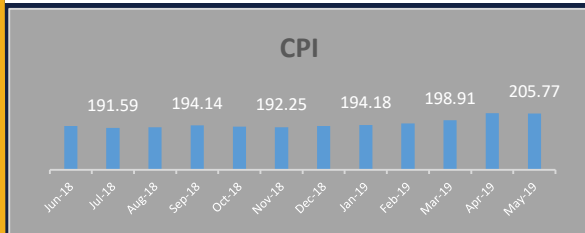
The macro environment remains challenging

1

Increasing business & consumer pressure

Budget 2019: Alcohol, cigarettes, betting hit hard as 'sin tax' comes into effect

By Wangui Ngechu For Citizen Digital
Published on: June 13, 2019 18:15 (EAT)



- › Pressure on consumers spending power
- › 15% discriminatory excise hike to further impact affordability.

2

Legal/Regulatory uncertainty remains



- › Not opposed to regulation that is balanced, evidence-based and follows due process.

3

Illicit continues to be a concern



- › 800MN sticks p.a. lost to the illegal market
- › KSh2.5BN loss to the Gov't p.a.

EXPORTS MARKET

Driving value growth amidst regional complexities

Infrastructure development driven economic growth



Consumer affordability Challenges in DRC



Non-Tariff barriers still in place

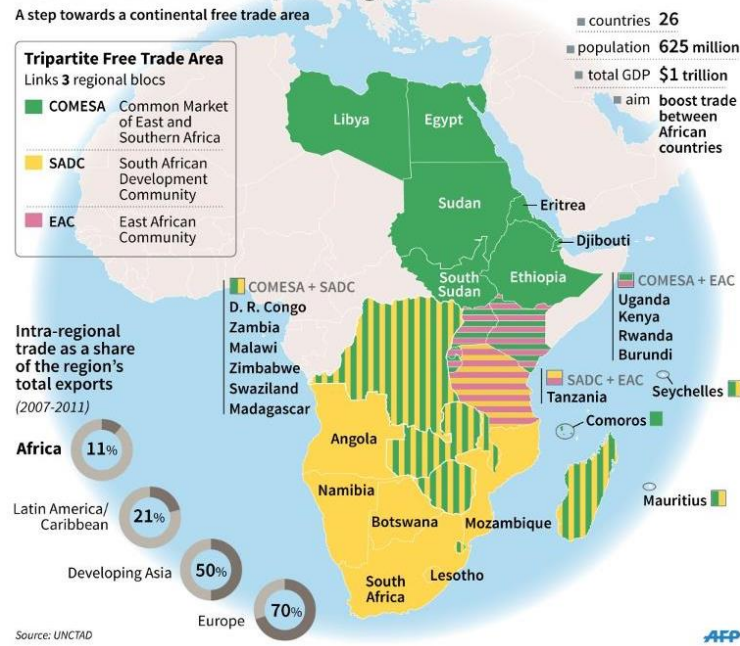
A common market spanning half of Africa

A step towards a continental free trade area

Tripartite Free Trade Area
Links 3 regional blocs

- COMESA Common Market of East and Southern Africa
- SADC South African Development Community
- EAC East African Community

Intra-regional trade as a share of the region's total exports (2007-2011)



Insecurity



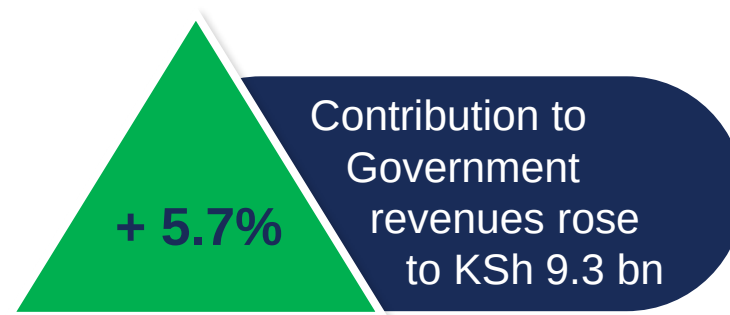
2M people face starvation as drought returns to Somalia



2019 INTERIM PERFORMANCE

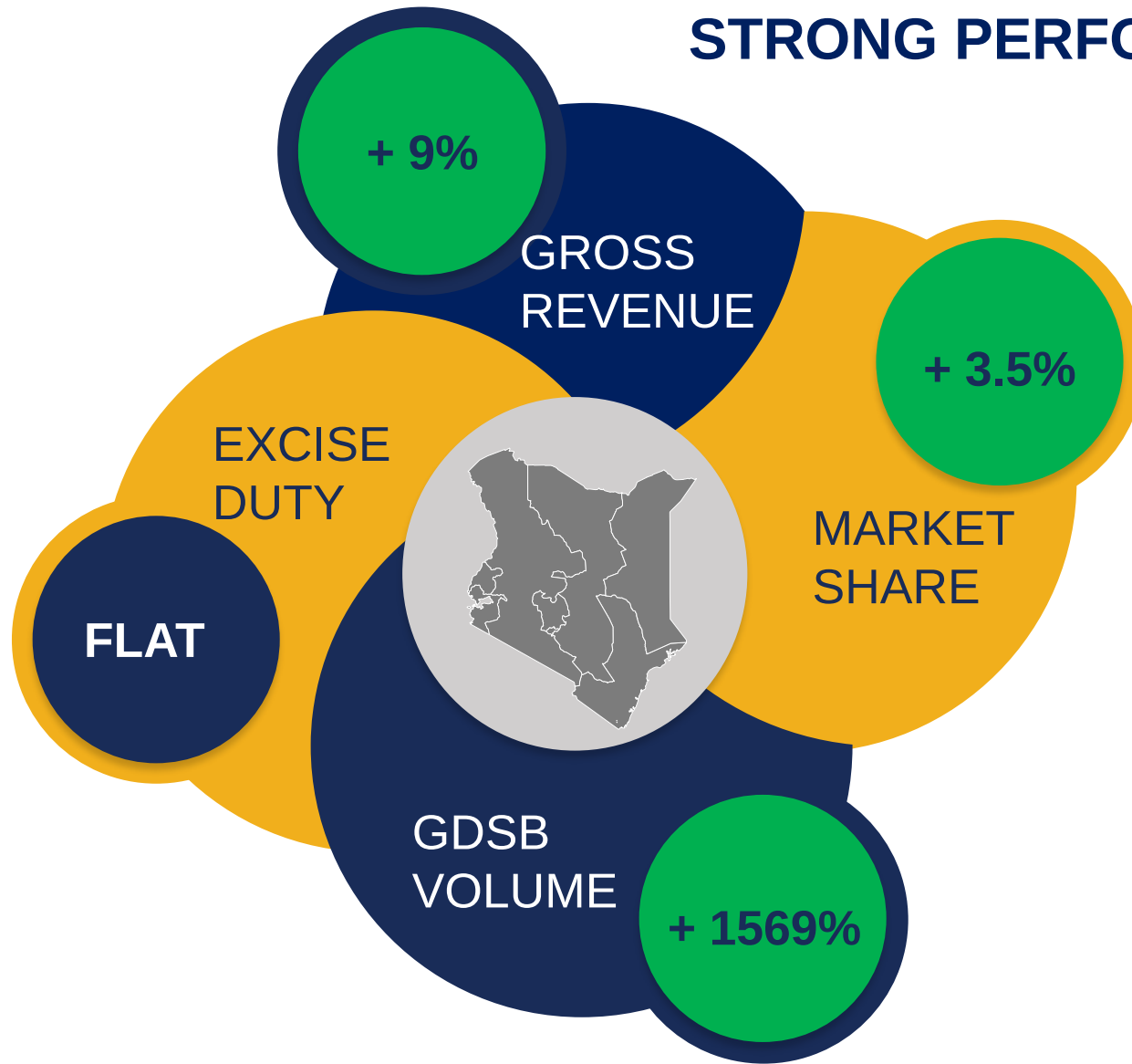
2019 INTERIM PERFORMANCE SUMMARY*

Value growth in a challenging environment



***vs SPLY 2018**

STRONG PERFORMANCE IN THE DOMESTIC MARKET



Modernisation of our offers to consumers



Global Drive Strategic Brands

POSITIONING OUR PORTFOLIO TO CONTINUE WINNING

Local Hero



Sportsman growing volume contribution to portfolio versus last year

New Launches – June 2019



The first to bring innovation to the value consumer

PARTNERING WITH CUSTOMERS FOR GROWTH

WHOLESALE PROGRAM



Driving performance partnership with wholesalers

RETAIL PROGRAM TO SUPPORT DIRECT SELLING



Retail program to support direct selling plan and executional guidance

RCS8 SYSTEM



National order/sales automation to support better selling efficiency & information visibility

THE KENYA HUB CONTINUES TO DELIVER

9

Markets
supplied with
Cigs

Volume
(Exports)

4.6bn
sticks

(-2% vs SPLY)

Share of
factory output

66.9%

(+1pp vs SPLY)

Value (Cig
Exports)

\$46.6mn

(+11% vs SPLY)



LEAF & CUT RAG TOBACCO

Export CRT
value

\$11.1m
(+77% vs SPLY)

Export CRT
volume

2,269
metric tons
(+99% vs SPLY)

Annual Volume of
leaf grown

8.9m
Kgs
(+0.3% vs SPLY)

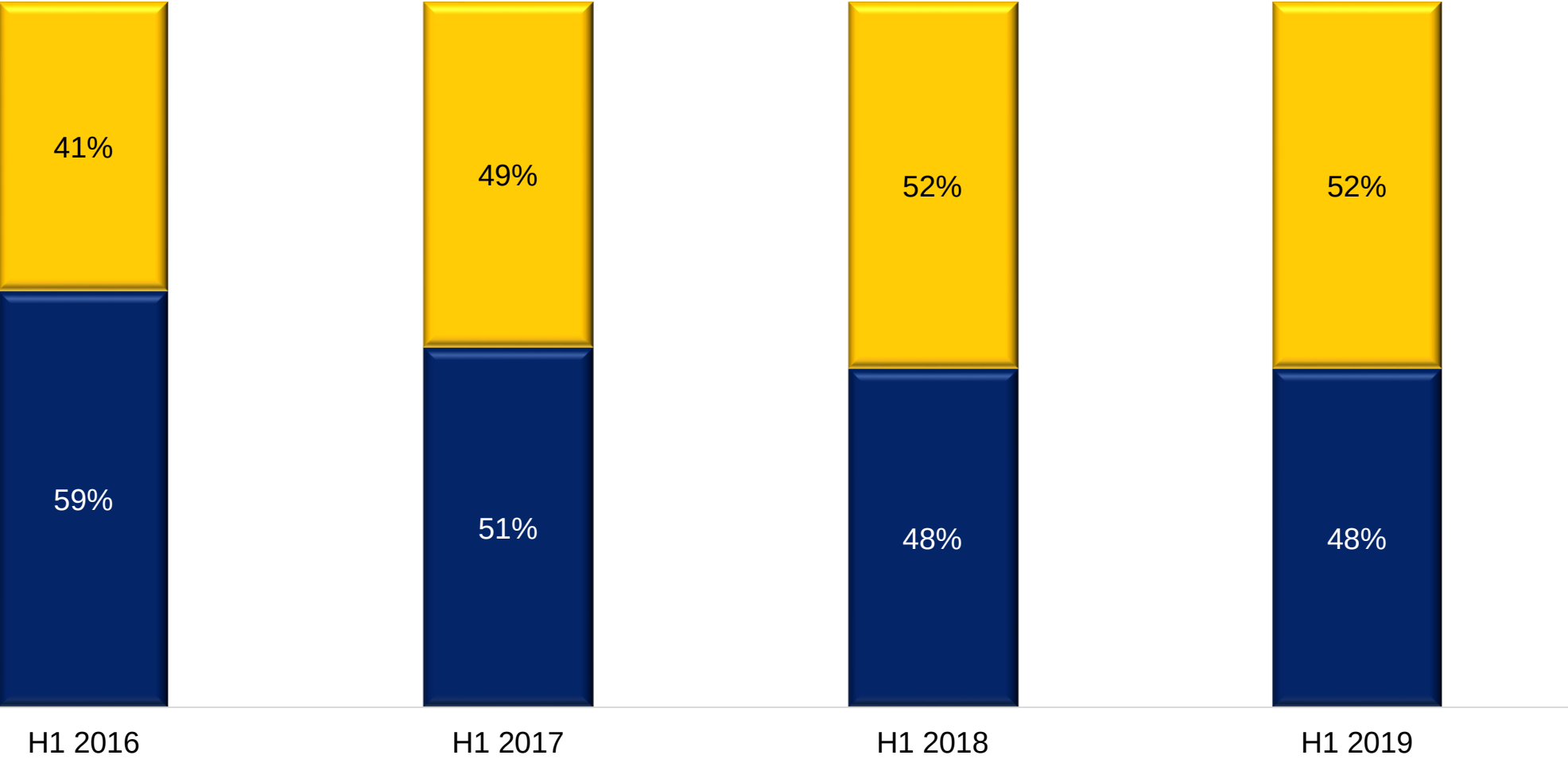
Annual Payments
to farmers

KSh
1.46b
(-1.9% vs SPLY)



BALANCED REVENUE STREAMS

■ Domestic Revenue ■ Export Revenue



NAIROBI MANUFACTURING HUB

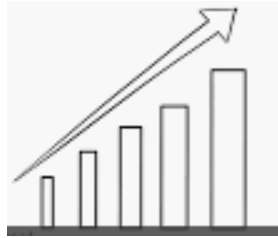
**Sustained
High Service Levels**



**World Class
Quality**



**Factory
Efficiency**



+4pp vs SPLY

- › Product Quality Score up by 2%
- › Capability Projects going as per plan
- › New Products delivery
- › World Class Systems (GMES)

**Manufacturing
Costs**

- 2%

**reduction vs
2018**

Sustainability



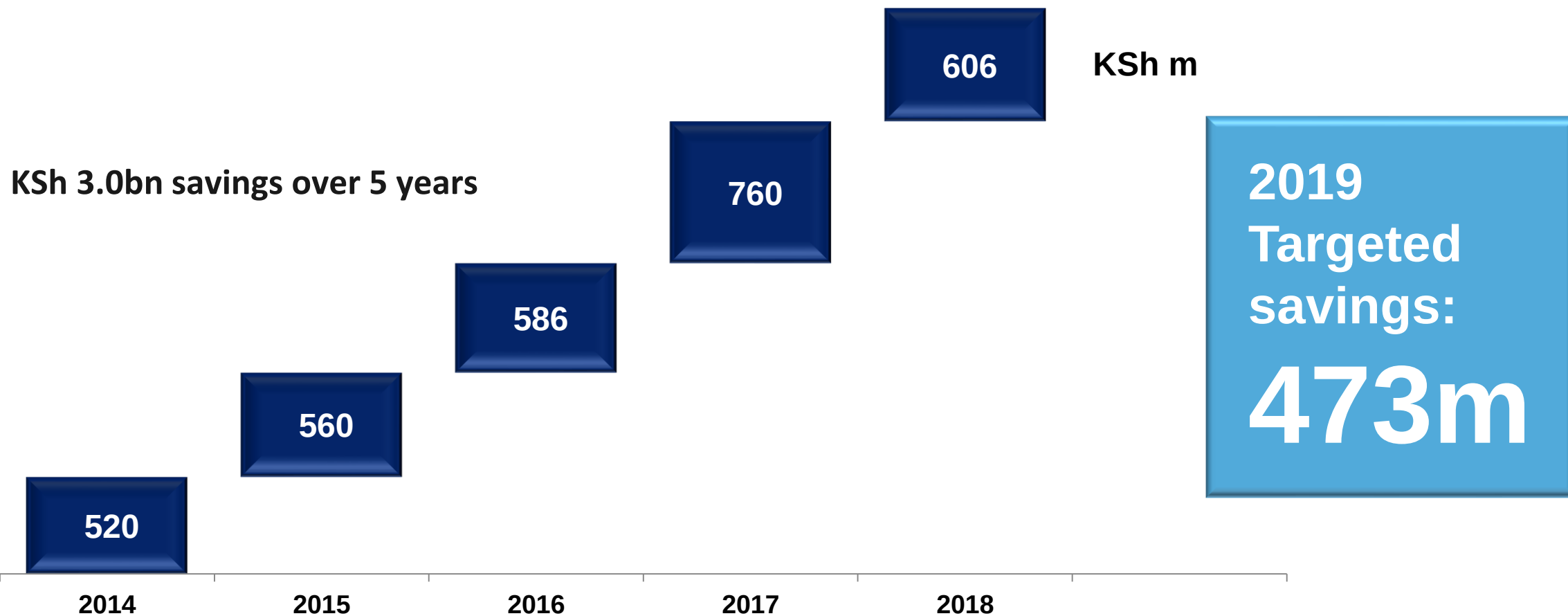
EMA Awards March 2019

- ✓ High Sustained Performance
- ✓ Best Energy Committee Team
- ✓ Overall Energy Management runners up
- ✓ Electricity Savings award
- ✓ Water Conservation Award

Recycling Rate 99%
Energy (Gj/mce) - 20%
Water Use (M3/mce) - 25%

PRODUCTIVITY SAVINGS

Re-invested in the business and offset against inflationary increases



CELEBRATORY MOMENTS



LIFETIME ACHIEVEMENT AWARD AT THE
KENYA EXPORTER OF THE YEAR
AWARDS



CELEBRATING 50 YEARS OF LISTING ON
THE NAIROBI SECURITIES EXCHANGE

INVESTING IN OUR PEOPLE



A GREAT PLACE TO WORK

H2 2019 KEY FOCUS AREAS

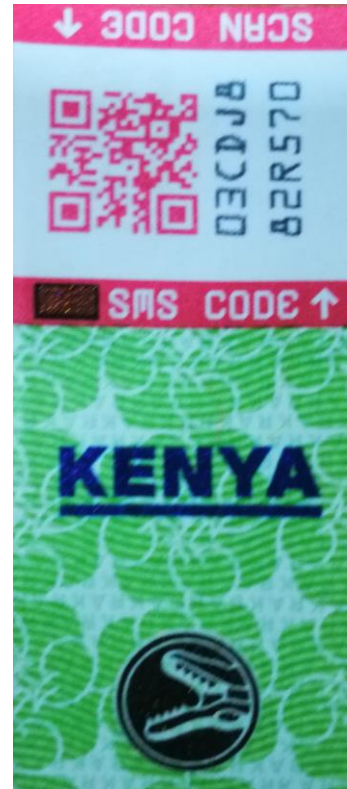
FOCUS AREAS IN H2 2019

ANTI ILLICIT TRADE MANAGEMENT

REGULATORY ENVIRONMENT

PORTFOLIO INVESTMENT FOR GROWTH

PRODUCTIVITY INITIATIVES



THANK YOU

QUESTIONS?



BRITISH AMERICAN
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